GPS Renewables Pvt. Ltd.

INDUSTRIAL RELATIONS COMPLIANCE LIST AND INSTRUCTIONS

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SOP: Labour Verification & IR Compliances

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INDUSTRIAL RELATIONS COMPLIANCE LIST AND INSTRUCTIONS

Contractors need to adhere to the below mentioned compliance SOP guidelines. All compliance documents are subject to verification by site HR and there by the Central compliance team.

1. **Gate Pass for Employees:**
    - Prior to mobilization, you must provide the employee data in advance.
    - The data should include **Name, Aadhar Number, Mobile Number, and Category** (Highly Skilled/Skilled/Semi-Skilled/Unskilled).
    - **Note:** No employee will be allowed to work on-site without a gate pass and Aadhar verification through mobile OTP. Kindly share the data with the Site HR accordingly.
2. **Wages & Compliance Documents:**
    - Minimum wages as per the respective state regulations, along with **PF and ESIC, PT & LWF documents**, must be submitted at the earliest.
3. **UAN & ESIC Registration:**
    - UAN and ESIC codes will be generated on the same day of an employee's joining at the site.
    - The relevant data should be submitted promptly.
4. **Bank Details Submission:**
    - Bank details of every employee must be submitted within **7 days of joining**.
5. **Monthly Compliance Documentation:**
    - The following forms must be submitted to the Site HR for verification by the **2nd of every month**:
        - **Form A:** Employee Profile
        - **Form B:** Wages Sheet
        - **Form C:** Advance & Deductions
        - **Form D:** Attendance
6. After verification of these forms, the following must be submitted **on or before the 10th of every month**.
    - **Bank Statement for Salary Transfer,**
    - **PF & ESIC Challans**
7. **Compliance & Gate Attendance:**
    - 100% compliance must be ensured in line with gate attendance records.
8. **Age Restrictions:**
    - Only individuals aged **between 18 and 58 years** will be permitted to work on-site.
9. **Workmen compensation** policy has to be taken before starting the work. Terms and conditions are as per the attachment.

Upon verification of the above compliance requirements, clearance will be provided to finance team.

Compliance SOP file attached for More detailed Explanation. Kindly go through the same before finalisation of Order and comply.

Standard Operating Procedure: Labour Verification & IR Compliances

Purpose:
To establish a clear and unified approach for ensuring compliance with labour laws, the Building and Other Construction Workers (BOCW) Act, and the Factories Act during project deployments at GPS Renewables, while minimizing any hindrance to project progress.

Scope:
This SOP applies to all projects undertaken by GPS Renewables, covering both short-term (less than 3 days) and long-term (more than 4 days) deployments of workers on project sites.

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1. Introduction

- **Objective**: To ensure that all project sites comply with the necessary labour laws, BOCW Act, and Factories Act *without causing hindrances in project execution*.
- **Applicable Laws**: The SOP is guided by the provisions of the Industrial Disputes Act, Minimum Wages Act, Employees' Provident Fund Act, Employees' State Insurance Act, Payment of Gratuity Act, Contract Labour Act, BOCW Act, and Factories Act.
- **Scope**: Applies to all vendors, subcontractors, and contractors involved in GPS Renewables' projects.

2. Definitions

To ensure clarity for all stakeholders, the following key terms are defined:

- **Crew Net Verification**: The process of verifying and approving worker identification details through the Crew Net system developed by GPSR, before allowing site access.
- **UAN (Universal Account Number)**: A unique identification number assigned to each employee contributing to the Employees' Provident Fund (EPF) in India.
- **Statutory Compliance**: Adherence to laws and regulations regarding labour, wages, safety, and other relevant areas as prescribed by local, state, and national authorities.

3. Compliance Strategy

- **Unified Compliance Approach**: Integrate compliance requirements across labour laws, BOCW Act, and Factories Act into a single, cohesive strategy that can be uniformly applied across all project sites. Unified approach also entails that

compliance is everyone's responsibility, the compliance cell & project execution team alike.

- **Pre-Compliance Planning**: Conduct pre-audits of compliances to identify and address potential compliance challenges before the start of any project. This would be undertaken by the BD & Projects Team during the project conception & incubation stage and does not form part of this SOP.

4. Roles and Responsibilities

HR/Compliance Team

- Authority: The HR/Compliance team is responsible for ensuring that all workers are compliant before being granted site access. They have the authority to withhold access until full compliance is achieved. SVP, IR Compliances is overall accountable for ensuring that Regional & Site HR discharge their responsibilities towards compliances.
- Enforcement: Site HR/Compliance can suspend work or deny entry to workers if contractors fail to submit necessary documentation on time, subject to approval from the SVP IR Compliances (decentralisation of authority to be reviewed after 6 months).
- Documentation: Maintain records of compliance submissions and follow up with contractors for any outstanding documents.
- Training: Conduct regular training sessions for Site HR and contractors on compliance requirements and procedures.

Project Manager (PM)

- Coordination: Work with HR/Compliance to ensure that all necessary compliance documents are submitted by contractors.
- Support: Assist HR/Compliance in obtaining documentation, particularly for short-term workers or in cases of non-compliance.
- Review: Regularly review compliance status during vendor WRMs and take corrective actions if needed.

Senior Management (SVP, Project)

- Oversight:
    - Initial documentation before Gate Entry is the most important step that not only impacts timely deployment & faster productivity of the workforce, but also severely impacts the subsequent monthly compliances of salaries, PF, ESIC if the initial documentation is in order. SVP, Projects will ensure

that the VPs & PMs take ownership to facilitate initial documentation being enforced by Site HR before/ during the deployment of any new workforce.

  - Monitor compliance performance across all sites and provide necessary approvals for worker extensions if needed.

- Accountability: Ensure that contractors meet extended deadlines for document submission and support HR/Compliance in enforcement actions if necessary.

GPS Procurement Team

Pre-Award Compliance Awareness

- Vendor/Contractor Briefing: Before awarding any work, the GPSR Procurement Team is responsible for ensuring that all potential vendors and contractors are fully aware of the Compliance SOP and the associated documentation requirements. This includes providing clear, detailed information about the compliance expectations during the tendering or bidding process.
- Documentation Requirements: The Procurement Team must explicitly outline all statutory and company-specific documentation requirements that vendors/contractors must adhere to throughout the contract duration. This includes, but is not limited to, UAN details, statutory compliance proofs, wage remittance documentation, and any other relevant records.

Reiteration During Kick-Off Meetings/Onboarding

- Kick-Off Meetings: During the kick-off meetings or onboarding of contractors, the GPSR Procurement Team will reiterate the importance of compliance and the specific documentation requirements. They must ensure that the IR Compliance Team is looped into these meetings to provide detailed guidance and answer any questions from the contractors regarding compliance.
- Involvement of VP Projects: The responsibility of ensuring that these compliance requirements are effectively communicated and understood during onboarding lies with the VP Projects. The VP Projects must coordinate with both the Procurement Team and the IR Compliance Team to ensure that all contractors are clear on their compliance obligations before the commencement of work.

Ongoing Coordination

- Monitoring & Support: The Procurement Team must maintain ongoing communication with the IR Compliance Team and the contractors throughout the project lifecycle to address any compliance-related issues promptly. They must ensure that contractors are reminded of their obligations periodically and that any non-compliance is escalated to the appropriate levels for resolution.

- Before awarding repeat work to any contractor in the same project or future projects, the procurement team (buyer) will seek feedback on the contractor's performance wrt compliances from the IR Compliance Team.

Contractors

- Obligations: Submit all required documentation, including proof of wage remittance, within stipulated timelines.
- Penalties: Understand that non-compliance will result in penalties, including suspension of site access for workers or delayed payments.
- Communication: Maintain open communication with HR/Compliance to resolve any compliance issues promptly.

Section A: Gate Entry Process

In order to simplify the process for Gate Entry, vendors/ contractors are categorized into two categories, deploying workers upto 3 days and beyond 3 days. The checks for Gate Entry have been moderated

For Vendors Appointed on Site for Up to 3 Days:

- **Day 1**:
    - Aadhar Copy: A copy of the worker's Aadhar card is required. Verification of correctness of Aadhar details will be performed by Site HR on a best efforts basis on Day 1. For any administrative or technical reasons, if the same is not accomplished, extension may be granted.
    - ****Crew Net Verification**: This requires a mobile number to be linked to Aadhar. Crew Net verification should be attempted on Day 1 by Site HR on a best efforts basis. Extension may be granted in exceptional cases.
    - Joining Form: Ensure the joining form is filled and submitted. Format attached as **Annexure A**.
    - Medical Certificate: A valid medical certificate must be submitted. Refer **SOP on Medical Check Up** for format.
    - *UAN Number: Site HR will collect UAN (Universal Account Number) for each worker on Day 1 on a best efforts basis. There is no dependency on mobile OTP for UAN verification.

For Contractors Having Work of More Than 3 Days:

- **Day 1**:
  - Aadhar Copy: A copy of the worker's Aadhar card is required. Verification of correctness of Aadhar details will be performed by Site HR on a best efforts basis on Day 1. For any administrative or technical reasons, if the same is not accomplished, extension may be granted.
  - Joining Forms: Ensure the joining form is filled and submitted. Format attached as **Annexure A**.
  - Medical Certificate: A valid medical certificate must be submitted. Refer **SOP on Medical Check Up** for format.
  - *UAN Number: Site HR will collect UAN (Universal Account Number) for each worker on Day 1 on a best efforts basis. There is no dependency on mobile OTP for UAN verification.
  - ****Crew Net Verification**: This requires a mobile number to be linked to Aadhar. Crew Net verification should be attempted on Day 1 by Site HR on a best efforts basis. Due to its time-consuming nature, a relaxation period of up to 7 days is granted if verification is not completed on the first attempt.
  - **Bank Account Number**: Contractor must provide the bank account details of the workers.

Additional Notes:

- *UAN Creation Errors: If there are any technical errors during UAN creation on Day 1, workers will be given a default 7-day window to correct them.
- **Crew Net Verification Failure: Workers failing Crew Net verification on Day 1 - for reasons such as mobile number not linked, mobile number changed or workers not having a mobile number - will be given a 7-day default timeline for re-verification.
- Handling Extensions for UAN & Crew Net: The decision for 7 days default timeline is to be taken by Site HR after informing the Regional HR Managers. Site HRs will support the contractors to ensure compliance within these 7 days extension window. Beyond the 7th day, Regional HR Managers may grant another 3 days extension based on progress & merit of the case. The same will be informed to SVP Projects, who are required to ensure compliance within the extension period to avoid stoppage of gate entry. Post expiry of the extension period (7 days + 3 days), the IR Compliance team is authorised to stop entry to non-compliant workers. If the SVP Projects is desirous of granting another extension of 3 days, he

may do so based on merit of the case, however the responsibility of ensuring compliance during this extension rests with the SVP, Projects. No entry will be allowed beyond the second extension. All temporary gate passes issued to workers/ employees/ staff due to extension periods granted, will be automatically revoked after 13 days, if the verification process is not completed by then. This would take the onus off individuals and place it on a system-driven approach.

- Aadhar Correction: Incase crew net verification is not completed within 7 days, since Aadhar details required corrections, Site HR & PMs can grant additional 3 days extension, subject to contractor submitting acknowledgement copy of Aadhaar-mobile linking application made at Aadhaar centre. PM to support the Site HR in efforts to expedite all compliances.

Specific Responsibility and Enforcement:

- **Site HR**:
  - Ensure that all Day 1 requirements are met.
  - Follow up on any outstanding compliance issues within the 7-day relaxation period.
  - Assist contractors with UAN registration and Crew Net verification.
  - Maintain a proper written record of extensions granted for UAN & Crew Net verification.
- **Project Manager (PM)**:
  - Support Site HR in expediting compliance processes.
  - Coordinate with contractors to ensure timely submission of required documentation.
- **GPS Rights**:
  - GPS Renewables reserves the right to expel any worker who fails to comply with the required documentation and verification processes beyond the given timelines.
  - The contractor will be solely responsible for ensuring compliance, as outlined in the joining form cum declaration letter.

Section B: Monthly Compliance Submission

Attendance:

- **Responsibility**: Site HR will share attendance data with the subcontractor by the 2nd of each month.

Data Verification:

- **Forms Preparation**: Subcontractors must prepare forms A, B, C, and D and submit them for verification by the 4th of the month.
- **Feedback and Adjustments**: Any corrections required post-verification will be communicated to the subcontractor by the 5th.
- **Final Approval and Salary Processing**: Upon final approval, the subcontractor will process salaries by the 6th of the month.

Salary Disbursement:

Salary Verification:

- **Bank Statement Submission**: Subcontractors are required to share the salary bank statement with site HRs by the 7th of each month.

Statutory Compliance (PF/ESIC/LWF/PT):

- **Compliance Payment**: Subcontractors must pay remaining statutory compliances by the 11th of each month, as per state rules.
- **Data Submission**: Compliance data must be submitted by the 12th for verification by Site HR.

Final Submission:

- **Site Compliance Data**: Site HRs will submit the compiled compliance data to the Compliance Team by the 16th of each month.

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xSection C: Enforcement

Enforcement Matrix:

Requirements	Short-Term Workers (Up to 3 Days)	Long-Term Workers (More than 3 Days)	Responsible Party
Aadhaar Submission	Day 1	Day 1	Vendor/Contractor
Joining Form cum Declaration	Day 1	Day 1	Vendor/Contractor
Medical Fitness Certificate	Day 1	Day 1	Vendor/Contractor
Crew Net Verification	Day 1 (On Best Effort Basis)	Day 1 (7-day relaxation, 3-day extension if needed)	Site HR/Contractor (Regional HR Manager & SVP Projects for any extensions)
(UAN Registration	Day 1 (On Best Effort Basis)	Day 1 (7-day relaxation, 3-day extension if needed)	Site HR/Contractor (Regional HR Manager & SVP Projects for any extensions)
Attendance Submission	2nd of every month	2nd of every month	Site HR
Forms A, B, C, D Submission	4th of every month	4th of every month	Subcontractor
Salary Processing and Disbursement	6th of every month	6th of every month	Subcontractor
Salary Verification	7th of every month	7th of every month	Site HR
PF/ESIC/LWF/PT Payment	11th of every month	11th of every month	Subcontractor
Compliance Data Submission	12th of every month	12th of every month	Subcontractor
Final Compliance Submission	15th of every month	15th of every month	Site HR

Penalty Clause

1. Non Submission of Initial Documents. Despite granting a total period of 13 days (with two extensions included), if the contractor is unable to ensure compliance/ the worker quits, GPSR becomes a non-compliant service provider, which leads to withholding payments by the Client/ Project Owner across entire/ multiple projects due to mismatch in attendance records & monthly compliance records. In order to ensure accountability, GPSR reserves the right to penalise the defaulting contractor, subject to a maximum of INR 0.50 lacs. The same will be endorsed into the POs/WOs by the procurement team.
2. Non timely Wage Remittance. Delays in wage remittance by contractors are a primary cause of delays in compliance submissions. Wage remittance by the 7th of each month is a part of the compliance requirement. Contractors should be required to submit proof of wage remittance (e.g., bank transfer receipts) along with other compliance documents. Incase of failures to do so, especially repeated failures, may entail appropriate penalty being imposed on the vendor/ contractor by means of withholding payments or reconsidering future work allocations.

Training Sessions

- HR/Compliance will organize periodic training for Site HR and contractors to keep them updated on compliance requirements and procedures. These sessions will cover topics such as statutory regulations, documentation processes, and the use of the Crew Net system.

Continuous Improvement

- This SOP will be subject to regular reviews and updates to incorporate feedback from stakeholders and changes in relevant laws or regulations. First review to be conducted after 6 months of Rev 1 issue, thereafter it will be reviewed annually.
- A dedicated review committee, including representatives from HR, Compliance, Legal, and senior management, will be established to oversee the continuous improvement process.

Health & Safety Integration

- The compliance process will be integrated with the SOP for Medical Check-Up & Health Guidelines to ensure a seamless approach to worker welfare.
- HR/Compliance will coordinate with Health & Safety teams to align health checks with the compliance verification process, ensuring that worker welfare is addressed holistically.

Documentation and Record Keeping

- All compliance-related documents will be maintained in a centralized digital system for easy access and retrieval.
- The HR/Compliance team will be responsible for ensuring that all records are up-to-date and accessible for audits or inspections.

This SOP provides clear guidelines for compliance while accommodating the practical challenges faced at project sites. By adhering to these procedures, GPS Renewables ensures legal compliance and maintains high standards of site management.